

OCAD - ONE COMPANY A DAY

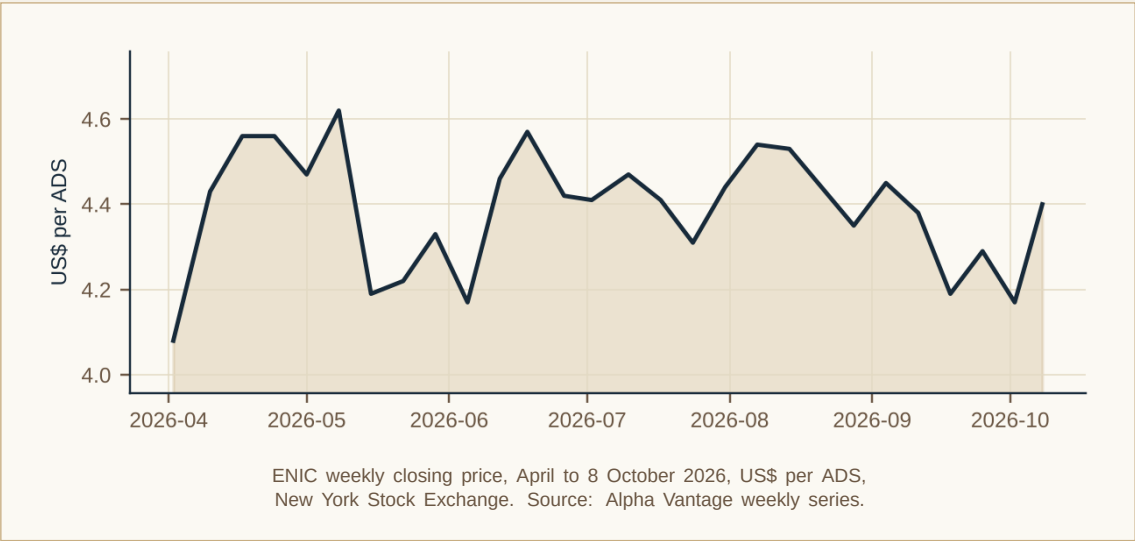
SERIES: UTILITIES

# Enel Chile S.A.

ENIC | New York Stock Exchange (ADS)

US\$ 4.40 per ADS

Closing price, Thursday 8 October 2026, latest completed trading day; one ADS represents 50 ordinary shares



# Executive Summary

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Enel Chile is Chile's largest integrated electricity company, with 8.9 GW of generating capacity (78 percent renewable and storage) and a regulated distribution network serving about 2.2 million customers in the Santiago region, and it is 64.9 percent owned by Enel SpA. At US\$4.40 per ADS the shares trade at 10.8 times trailing earnings, 7.8 times EBITDA and yield 3.7 percent, so the market is already paying a fair price for a stable utility whose main swing factors are rainfall, gas costs and Chilean tariff regulation.

## Business

Enel Chile earns money in two linked businesses. Generation (hydro, solar, wind, battery storage and gas-fired thermal plants) sells electricity to regulated distributors, to large free-market customers such as mines and industry, and on the spot market. Distribution (Enel Distribución Chile) is a regulated wire business in the Santiago Metropolitan Region that earns a tariff set by the regulator. In FY2025 the company reported US\$4.55bn of revenue on the data provider's definition (US\$4.66bn on the company's fact sheet) and adjusted EBITDA of US\$1.47bn. The EBITDA split between generation and distribution is Not Retrieved.

## Financial Condition

Trailing (twelve months to June 2026) revenue was US\$4.40bn, operating income US\$825m, EBITDA US\$1.24bn (operating income plus depreciation and amortization), and net income US\$564m. Operating cash flow was US\$1.31bn and free cash flow US\$804m, but capital expenditure is rising: US\$328m was invested in the first half of 2026, more than double the first half of 2025, mostly renewables and batteries. Gross debt is US\$3.8bn, 85 percent fixed rate at an average cost of 4.9 percent and 5.5 years average maturity, and net debt is about US\$3.5bn, or 2.9 times calculated EBITDA (2.3 times on the company's adjusted EBITDA at December 2025). Ratings are BBB (S&P) and BBB+ (Fitch).

## Market Position

Enel Chile combines generation with the distribution franchise of the capital region, and its plant mix is increasingly clean (67 percent of first-half 2026 output was emission-free; three coal plants totalling 636 MW are closed). Its market share in generation and distribution is Not Retrieved. The weaknesses are exposure to dry years (hydro output fell about 1.1 TWh in the first half of 2026), a free-market customer base that includes cyclical mining demand, and dependence on gas supply.

## Valuation

At US\$4.40 the market capitalization is US\$6.09bn and enterprise value US\$9.63bn. Trailing P/E is 10.8 times, EV/EBITDA 7.8 times, P/B 1.15 times and the dividend yield 3.7 percent. A ten-year DCF produces a base value of US\$4.55 per ADS, a range of US\$3.52 to US\$6.05 for reasonable discount rates and terminal growth, and scenarios from US\$1.95 to US\$6.79. The price therefore sits about 3 percent below the base case.

## Investment Framework

|                                    |                                                                                                                                                                                                                                                                                                 |
|------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>WHAT IS ATTRACTIVE</b>          | Low earnings multiple (10.8 times) and EV/EBITDA (7.8 times) with a 3.7 percent dividend yield, 450 MW of batteries under construction, fuel optimization (the Shell gas agreement added more than US\$100m to first-half EBITDA) and a regulatory settlement worth US\$65m to US\$70m of cash. |
| <b>WHAT IS CONCERNING</b>          | Net income and EBITDA depend on rainfall and spot prices; second-quarter 2026 EBITDA fell US\$32m year on year as high-priced regulated contracts expired; investment is rising while free cash flow is falling; the current ratio is 0.79.                                                     |
| <b>WHAT MUST GO RIGHT</b>          | Hydrology returning to the 10.7 TWh outlook, battery projects arriving on schedule to reduce curtailment, and the tariff protection law being promulgated and implemented.                                                                                                                      |
| <b>WHAT COULD BREAK THE THESIS</b> | A second dry year, adverse implementation of the resilience framework or tariff reviews, loss of free-market customers beyond mining, or a gas supply disruption.                                                                                                                               |
| <b>PRICED IN</b>                   | The price implies a discount rate of about 7.9 percent in our DCF, almost equal to our 7.8 percent WACC, so the market is pricing roughly the base case.                                                                                                                                        |

## Investment Profile

### ASSESSMENT BY DIMENSION

| Dimension                    | Assessment                                                                                                                                             |
|------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
| Business quality             | Good. Regulated distribution gives a stable base; generation is cyclical but diversified by technology                                                 |
| Financial quality            | Moderate. Earnings and cash flow are volatile (net income US\$154m in FY2024, US\$538m in FY2025), and one-off asset sales distorted FY2022 and FY2023 |
| Competitive position         | Strong in generation and distribution in Santiago; market shares are Not Retrieved                                                                     |
| Growth profile               | Low. Revenue CAGR 8.2 percent FY2021 to FY2025 but consensus 3-year revenue growth is only 2.4 percent                                                 |
| Balance-sheet risk           | Moderate. Net debt 2.9 times EBITDA, current ratio 0.79, 85 percent fixed-rate debt                                                                    |
| Valuation                    | Fair. Price within 3 percent of the DCF base case and below peer averages on earnings                                                                  |
| Market and technical profile | Neutral. Price at its 50-day average, RSI 53, 5 percent below the May high                                                                             |

Source: analyst assessment based on figures reported in this document.

## A. About the Business

### A1. Business Environment

Enel Chile operates in two industries: electricity generation and electricity distribution. The value chain runs from fuel and renewable resources (water, sun, wind, imported gas), through generators such as Enel Chile, Colbún, Engie Energía Chile and AES Andes, over a national transmission grid operated independently, to distributors (Enel Distribución in Santiago, CGE, Saesa) and finally to households, businesses and large industrial and mining customers. Generators capture value through energy and capacity prices and long-term contracts; distributors earn a regulated return on their network, and the regulator revises the tariff (the value added of distribution, known as VAD) every four years.

Three industry features matter. First, Chile's system has added large volumes of solar and wind, which cuts prices at midday and creates curtailment, so storage is now where investment is going; Enel Chile has more than 450 MW of batteries under construction at Las Salinas, Valle del Sol and Azabache. Second, the free market is open to customers above a size threshold that fell from 500 kW to 300 kW, so more customers can leave regulated supply. Third, regulation is under active reform: the Electricity Tariff Protection Bill passed both chambers in July 2026, settles the 2020 to 2024 VAD, extends the current

tariff period through 2030 and sets a framework for grid resilience investment. Industry size and market share figures are Not Retrieved.

INDUSTRY STAGE

Mature and transforming. Demand growth is low (consensus revenue growth is 2.4 percent a year), while the generation mix is changing quickly from hydro and thermal to solar, wind and storage. Distribution is regulated and stable; generation is cyclical with hydrology and fuel prices.

A2. What Does the Company Do?

Imagine joining Enel Chile as a new employee. On the generation side you help run 8.9 GW of plants, 6.9 GW of it renewable (hydro, solar, wind) and battery storage and the rest gas-fired. Electricity is sold under contracts to distributors and to large customers, and any difference between what you produce and what you have promised is bought or sold on the spot market, which is why a dry year hurts: with less water, you must buy or burn expensive energy to meet fixed sales. On the distribution side you maintain poles, cables and meters for 2.2 million clients, read meters, and bill them a regulated tariff. About 14.4 TWh was distributed in 2025, with 6.6 percent of energy lost in the network (5.8 percent in 2024).

Segments and revenue streams

BUSINESS LINES AND KEY FACTS

| Business                               | What it sells                                                                     | Key facts                                                                                                                                                          |
|----------------------------------------|-----------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Generation                             | Energy and capacity to regulated distributors, free-market customers, spot market | 8.9 GW installed; 6.9 GW renewable and storage; thermal 22 percent of capacity and 26.9 percent of 2025 output; 67 percent of first-half 2026 output emission-free |
| Distribution (Enel Distribución Chile) | Regulated electricity delivery and supply in Santiago                             | About 2.2 million clients; 14.4 TWh distributed in 2025; losses 6.6 percent                                                                                        |
| Group result                           | Consolidated                                                                      | FY2025 adjusted EBITDA US\$1,473m (company); first-half 2026 EBITDA US\$685m, up 4 percent                                                                         |

Source: Enel Chile FY2025 fact sheet, Form 20-F FY2025, and the Q2 2026 earnings call summary. EBITDA by business is Not Retrieved because the fact sheet chart labels were not legible in the retrieved text.

How one dollar of revenue is used

Of each dollar of TTM revenue, 81 cents goes to operating costs including purchases of energy and fuel (US\$3,574m of operating expenses on revenue of US\$4,399m, of which 9.3 cents is depreciation), leaving 18.7 cents of operating profit. Interest takes 3.6 cents net, taxes 4.9 cents and minority shareholders 1.1 cents, so 12.8 cents remains as net income. Operating cash flow is 29.7 cents of revenue because depreciation is non-cash; capital expenditure takes 11.4 cents and dividends paid 6.9 cents.

|                                                                                                              |                                                                                                                           |                                                                                                                     |
|--------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| <b>1. CUSTOMER</b><br>Distributors, free-market industrial and mining clients, 2.2 million regulated clients | <b>2. PRODUCT AND SERVICE</b><br>Electricity from hydro, solar, wind, gas and storage; delivery over the Santiago network | <b>3. REVENUE</b><br>TTM US\$4.40bn, up 9.9 percent on the provider's definition                                    |
| <b>4. COSTS</b><br>81 cents per dollar: energy and fuel purchases, network costs, depreciation               | <b>5. OPERATING PROFIT</b><br>18.7 cents per dollar (TTM operating income US\$825m)                                       | <b>6. CASH FLOW</b><br>Operating cash flow 29.7 cents; free cash flow 18.3 cents                                    |
|                                                                                                              |                                                                                                                           | <b>7. CAPITAL ALLOCATION</b><br>Dividends US\$305m, net debt repayment US\$314m, capital expenditure US\$504m (TTM) |

Source: calculated from StockAnalysis.com TTM statements to June 2026 (S&P Global Market Intelligence data). Percentages are of TTM revenue; the figures are in US dollars converted by the provider from the company's Chilean peso reporting.

The parts that matter most economically are hydrology (it sets the gap between contracted sales and own production), the gas supply position (Argentine pipeline gas, LNG and the Shell optimization agreement), and the regulated distribution tariff, which is the stable base of the group.

## A3. Business and Relationship Network

### ECOSYSTEM MAP

| Node                     | Relationship                                                                                                                            | Why it matters economically                                                               |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|
| Enel SpA                 | Controlling shareholder with 64.93 percent of share capital at 31 December 2025                                                         | Sets strategy and shares group procurement; related-party transactions require monitoring |
| Enel Distribución Chile  | Regulated distribution subsidiary in the Santiago Metropolitan Region                                                                   | Stable, tariff-based earnings; exposed to the VAD settlement and the resilience framework |
| Shell                    | Gas optimization agreement                                                                                                              | Added more than US\$100m to first-half 2026 EBITDA                                        |
| Gas suppliers            | Argentine pipeline gas and LNG contracts                                                                                                | Fuel cost for combined-cycle plants, which supplied 3.2 TWh in the first half             |
| Free-market customers    | Mining and industry customers under long-term contracts, including a 15-year renewable PPA for up to 1 TWh a year from second half 2026 | Physical sales fell to 14.8 TWh from 15.1 TWh due to lower mining demand                  |
| Regulator and government | Tariff law, VAD settlement, resilience framework                                                                                        | Expected cash inflow of US\$65m to US\$70m from the settlement                            |
| Lenders and bondholders  | Gross debt of US\$3.8bn; US\$640m of committed credit lines                                                                             | Funding for the investment plan; 85 percent fixed rate                                    |
| Competitors              | Colbún, Engie Energía Chile, AES Andes (generation); CGE, Saesa (distribution)                                                          | Compete for contracts and customers; market shares Not Retrieved                          |

Source: Form 20-F FY2025 (shareholding), Q2 2026 earnings call summary (MarketBeat, 29 July 2026), Enel Chile FY2025 fact sheet. Competitor names are the analyst's list of the main Chilean peers; they were not verified against a market-share source. Largest institutional holders: Not Retrieved (provider reports institutional ownership of 19.4 percent of float).

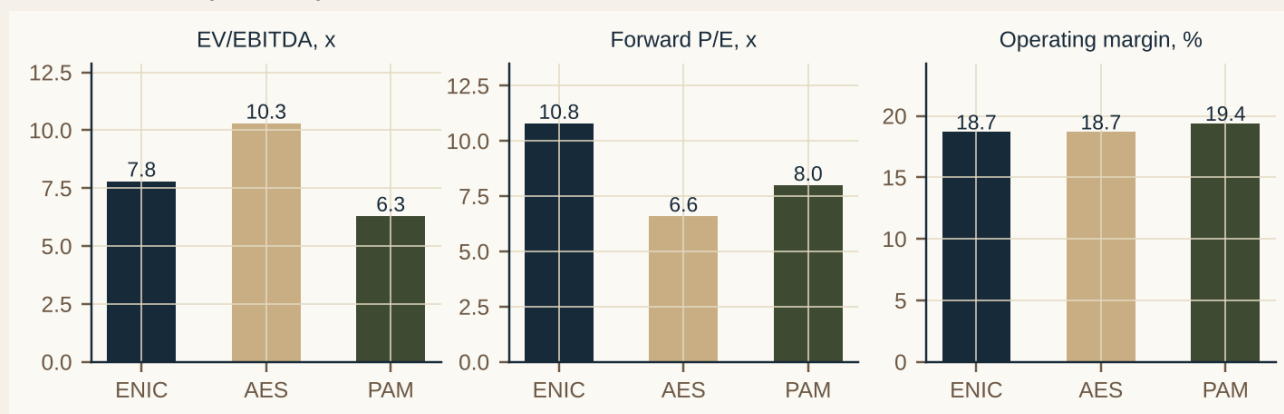
## A4. Competition

### COMPARISON WITH LISTED UTILITIES, US\$

| Company          | Market cap | Op. margin | EV/EBITDA | Fwd P/E | Div. yield |
|------------------|------------|------------|-----------|---------|------------|
| Enel Chile (ADS) | 6.09bn     | 18.7%      | 7.8x      | 10.8x   | 3.7%       |
| AES Corporation  | 10.65bn    | 18.7%      | 10.3x     | 6.6x    | 4.7%       |
| Pampa Energía    | 4.60bn     | 19.4%      | 6.3x      | 8.0x    | none       |

Source: StockAnalysis.com statistics pages, accessed 8 and 9 October 2026 (S&P Global Market Intelligence data). Enel Chile market capitalization, EV/EBITDA and yield are calculated at the 8 October close (the provider shows US\$5.68bn and 8.2x, based on a share count it describes inconsistently). Peer figures are provider values.

### Peer valuation and profitability



Source: StockAnalysis.com, 8 and 9 October 2026; Enel Chile calculated. Units: times and percent.

### WHY THESE PEERS WERE CHOSEN

| Peer                                    | Overlap with Enel Chile                                                                     | Position versus Enel Chile                                                                                         |
|-----------------------------------------|---------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|
| AES Corporation                         | U.S.-listed generator and utility with renewables and operations in Chile and Latin America | Far higher leverage (debt about 7.6 times EBITDA against 2.9 times), higher yield, lower forward earnings multiple |
| Pampa Energía                           | U.S.-listed Latin American integrated power company (Argentina)                             | Lower leverage (about 1.4 times), no dividend, higher country risk                                                 |
| Colbún, Engie Energía Chile, CGE, Saesa | Direct Chilean competitors in generation and distribution                                   | Not tabulated: not listed in the United States or provider data not retrieved                                      |

Source: analyst selection. Net debt to EBITDA for AES and Pampa is calculated from provider figures. Peers are imperfect: no US-listed company combines Chilean generation and regulated distribution.

## A5. Competitive Differences

Advantages are structural and local. Enel Chile owns the distribution network in the capital region, a natural monopoly with a regulated return; it has a diversified generation fleet in which 78 percent of capacity is renewable or storage and which can use gas when hydro is short; and it can draw on the Enel group's procurement and technology. Scale lets it fund an investment programme (US\$328m in the first half of 2026) from internal cash flow plus debt, and it holds investment-grade ratings (BBB, BBB+) that keep funding costs near 5 percent.

The disadvantages are specific too. Hydro is a large part of the fleet and fell 1.1 TWh in the first half of 2026; in a dry year the company must buy or burn costlier energy to meet contracts. Distribution losses rose to 6.6 percent in 2025 from 5.8 percent. Contracts signed years ago at high prices are expiring, and the second-quarter 2026 EBITDA fell US\$32m year on year because of lower PPA sales and a US\$36m drop in gas margin. The controlling shareholder holds 64.93 percent, which limits free float and gives minority holders little influence.

**MOAT ASSESSMENT: MODERATE**

Moderate rather than strong because the stable distribution franchise is balanced by a generation business exposed to hydrology, fuel and expiring contracts, and because ROIC of 5.5 percent (provider) is below our 7.8 percent cost of capital. The moat protects revenue but is not currently producing economic profit.

## A6. Industry Trend

The industry is mature in demand and transforming in supply. Consensus revenue growth for Enel Chile is 2.4 percent a year and EPS growth 4.7 percent over three years, so growth will come from mix and efficiency rather than volume. Solar and wind additions have pushed down midday prices and made storage the key investment (nearly two-thirds of first-half 2026 capex went to renewables and batteries, at roughly US\$0.9m per MW of storage). Coal is leaving the system: Tarapacá (158 MW), Bocamina I (128 MW) and Bocamina II (350 MW) have closed.

The trend could reverse or stall if rainfall stays low, if tariff implementation is unfavorable, if curtailment keeps rising faster than storage, or if mining and industrial demand stays weak. Structural conditions are decarbonization, storage build-out and the regulatory framework through 2030; temporary conditions are the dry hydrology and the current gas margin.

## A7. Management

**EXECUTIVE TEAM**

| Name                                  | Position                | Background                                                                                   |
|---------------------------------------|-------------------------|----------------------------------------------------------------------------------------------|
| Gianluca Palumbo                      | Chief Executive Officer | Spoke for the company on the Q2 2026 call; career history Not Retrieved                      |
| Simone Conticelli                     | Chief Financial Officer | Presented gas supply and financial results on the Q2 2026 call; career history Not Retrieved |
| Other officers and Chair of the board | Not Retrieved           | Item 6 of the Form 20-F was not retrievable in the extract                                   |

Source: MarketBeat, Enel Chile Q2 2026 earnings call highlights (29 July 2026). Compensation, tenure and insider ownership: Not Retrieved. Insider ownership is not reported by the data provider.

Capital allocation has favored dividends and debt reduction while stepping up investment. Dividends paid were US\$305m TTM and US\$351m in FY2025, against net debt repayment of US\$314m TTM, and gross debt fell 1.4 percent in the first half of 2026 to US\$3.8bn even as capex doubled. The dividend per ADS has been US\$0.16 to US\$0.29 a year since 2023. The company reaffirmed 2026 guidance on the Q2 call and said first-half results were in line with or slightly above expectations. Guidance targets themselves are Not Retrieved. As a controlled company with 64.93 percent held by Enel SpA, alignment with minority holders rests on dividend policy and on the quality of related-party dealings, which this report did not analyze in detail.

## B. Evaluation

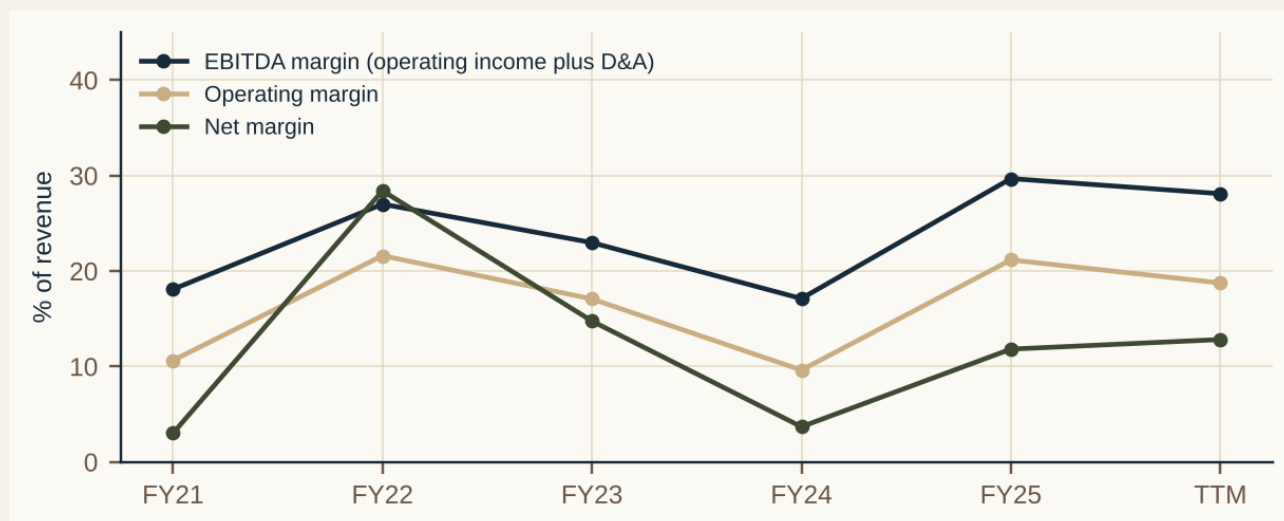
### B1. Financial and Operating Metrics

PROFITABILITY AND RETURNS, US\$ CONVERTED BY THE PROVIDER, REPORTED OR CALCULATED

| Metric                                       | FY21  | FY22  | FY23  | FY24  | FY25  | TTM   |
|----------------------------------------------|-------|-------|-------|-------|-------|-------|
| Operating (EBIT) margin                      | 10.6% | 21.6% | 17.1% | 9.6%  | 21.2% | 18.7% |
| EBITDA margin                                | 18.1% | 27.0% | 23.0% | 17.1% | 29.7% | 28.1% |
| Net margin                                   | 3.0%  | 28.4% | 14.8% | 3.7%  | 11.8% | 12.8% |
| ROE (net income over year-end common equity) | 2.7%  | 30.5% | 14.9% | 3.1%  | 10.4% | 10.6% |
| ROA (net income over year-end assets)        | 0.9%  | 10.5% | 5.6%  | 1.2%  | 4.2%  | 4.4%  |

Source: calculated from StockAnalysis.com statements (S&P Global Market Intelligence). EBITDA is operating income plus depreciation and amortization from the income statement. FY2022 and FY2023 net income include gains on sale of assets of US\$1,156m and US\$262m; excluding them, the margins would be much lower. Provider ROE 11.0 percent and ROIC 5.45 percent (TTM). TTM is the twelve months to 30 June 2026.

#### EBITDA, operating and net margin



Source: StockAnalysis.com reported statements, calculated margins. Units: percent of revenue. Period: FY2021 to TTM June 2026.

Interpretation. Margins are volatile because generation margins move with hydrology and fuel prices: operating margin fell to 9.6 percent in FY2024 and recovered to 21.2 percent in FY2025. The most recent year-on-year change in EBITDA is positive for the first half of 2026 (US\$685m, up 4 percent) but second-quarter EBITDA fell US\$32m as expiring contracts and lower gas margin offset cost savings. ROIC of 5.45 percent is below our WACC of 7.8 percent, while ROE of about 10.6 percent is supported by leverage of 0.67 times equity.

## GROWTH, LEVERAGE AND CASH FLOW METRICS

| Metric                              | Value | Period       | Basis                    |
|-------------------------------------|-------|--------------|--------------------------|
| Revenue CAGR                        | 8.2%  | FY21 to FY25 | Calculated               |
| EBITDA CAGR                         | 22.5% | FY21 to FY25 | Calculated               |
| Net debt to EBITDA                  | 2.9x  | Jun-26       | Calculated               |
| Net debt to EBITDA, company         | 2.3x  | Dec-25       | Company, adjusted EBITDA |
| Debt to EBITDA                      | 3.3x  | TTM          | Provider                 |
| Debt to equity                      | 0.67x | TTM          | Provider                 |
| Interest coverage (EBIT / interest) | 4.3x  | TTM          | Calculated               |
| Current ratio                       | 0.79x | TTM          | Provider                 |
| Free cash flow margin               | 18.3% | TTM          | Provider                 |
| Free cash flow yield                | 13.2% | TTM          | Calculated               |
| Levered free cash flow yield        | 5.6%  | TTM          | Provider levered FCF     |
| Operating cash flow to net income   | 2.3x  | TTM          | Calculated               |
| Capex to revenue                    | 11.4% | TTM          | Calculated               |
| Receivable days (year-end)          | 111   | FY25         | Calculated               |

Source: calculated from StockAnalysis.com statements and statistics (S&P Global Market Intelligence) and the Enel Chile FY2025 fact sheet. Net debt at June 2026 is gross debt of US\$3.82bn less cash of US\$277m (provider statistics and the Q2 2026 call). Free cash flow is operating cash flow less capital expenditure. The provider's levered free cash flow is lower because it deducts interest and working capital. Receivables include regulatory receivables.

## B2. Risks

## RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

| Rank | Risk                                   | Probability | Impact | Description                                                                                                                                              |
|------|----------------------------------------|-------------|--------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1    | Hydrology and weather                  | High        | High   | Hydro output fell about 1.1 TWh in the first half of 2026; management still expects about 10.7 TWh for the year, so the outcome depends on rain and snow |
| 2    | Regulation and tariffs                 | Medium      | High   | The tariff protection law is awaiting promulgation; the resilience framework is undefined; the next distribution tariff review is after 2030             |
| 3    | Contract expiries and gas margin       | High        | Medium | Q2 2026 EBITDA fell US\$32m on lower PPA sales and a US\$36m drop in gas margin                                                                          |
| 4    | Curtailement and price cannibalization | Medium      | Medium | Solar and wind additions depress midday prices; storage of more than 450 MW is meant to counter this                                                     |
| 5    | Free-market demand                     | Medium      | Medium | Physical sales fell to 14.8 TWh from 15.1 TWh because of lower mining demand                                                                             |
| 6    | Balance sheet and refinancing          | Medium      | Medium | Gross debt US\$3.8bn, current ratio 0.79, current portion of debt US\$322m at December 2025; mitigated by US\$640m of committed lines                    |
| 7    | Controlling shareholder                | Low         | Medium | Enel SpA owns 64.93 percent; limited free float and related-party dealings                                                                               |
| 8    | Currency (peso against dollar)         | Medium      | Medium | Reporting is in Chilean pesos; ADS holders face translation and conversion effects                                                                       |
| 9    | Network losses and operations          | Medium      | Low    | Losses 6.6 percent against 5.8 percent; operational resilience of the Santiago grid                                                                      |
| 10   | Gas supply                             | Low         | High   | Dependence on Argentine pipeline gas and LNG for combined-cycle output                                                                                   |

Source: analyst ranking, using the Q2 2026 call summary, Form 20-F FY2025, the Enel Chile FY2025 fact sheet and StockAnalysis.com.

The risks most likely to damage shareholder value permanently are an adverse regulatory outcome (because distribution is the stable base), several dry years in a row (because they remove the margin that funds dividends and investment), and an investment programme whose returns fall short of the 7.8 percent cost of capital when ROIC is already 5.5 percent.

## B3. Valuation

CURRENT MULTIPLES AT THE 8 OCTOBER 2026 CLOSE OF US\$4.40 PER ADS

| Multiple              | Value      | Basis                                                                       |
|-----------------------|------------|-----------------------------------------------------------------------------|
| Market capitalization | US\$6,087m | Calculated: 1,383.3m ADS equivalents (69,166.9m shares over 50) times price |
| Enterprise value      | US\$9,630m | Calculated: market cap plus net debt of US\$3,543m                          |
| P/E, trailing         | 10.8x      | Calculated: price over TTM EPS of US\$0.408 per ADS                         |
| P/E, forward          | 10.8x      | Provider, based on analyst estimates                                        |
| EV/EBITDA, TTM        | 7.8x       | Calculated: EBITDA US\$1,236m                                               |
| EV/EBIT, TTM          | 11.7x      | Calculated                                                                  |
| EV/Sales, TTM         | 2.2x       | Calculated                                                                  |
| P/S, TTM              | 1.4x       | Calculated                                                                  |
| P/B                   | 1.15x      | Calculated: book value US\$3.84 per ADS                                     |
| P/FCF, TTM            | 7.6x       | Calculated: FCF US\$804m                                                    |
| Dividend yield        | 3.7%       | Calculated: US\$0.162 over price                                            |
| Payout ratio          | 40%        | Calculated: dividends of US\$0.162 per ADS over TTM EPS                     |

Sources: StockAnalysis.com statements and statistics; Form 20-F (shareholding). ADS conversion: one ADS represents 50 ordinary shares per the FY2025 fact sheet. Provider statistics show market capitalization of US\$5.68bn and EV of US\$9.34bn (5 October); this report uses the 8 October close and the calculated share count. Enterprise value excludes minority interest of US\$385m.

Own history. A multiples history was Not Retrieved. The 5-year weekly price total return of 175 percent (22.4 percent a year) shows that the current multiples already reflect a strong re-rating from the 2022 trough.

Peers. Enel Chile trades at a lower EV/EBITDA than AES (7.8 against 10.3 times) and above Pampa Energía (6.3 times), at a higher forward P/E than both (10.8 against 6.6 and 8.0 times), with leverage (2.9 times net debt to EBITDA) between AES (about 7.6 times) and Pampa (about 1.4 times). The yield of 3.7 percent compares with 4.7 percent at AES.

What the price assumes. In our DCF (section C5), the current price corresponds to a discount rate of about 7.9 percent, against our 7.8 percent WACC, or to a terminal EBITDA margin of about 28.3 percent (versus 28.1 percent TTM). Compared with the consensus revenue growth of 2.4 percent and EPS growth of 4.7 percent a year, expectations are best described as **Reasonable**: the market asks for stable margins and modest growth and offers little reward if margins fade.

## B4. Capital Market and Stock Analysis

PRICE PERFORMANCE TO 8 OCTOBER 2026 (TOTAL RETURN, ENIC VERSUS S&P 500 VIA SPY)

| Period              | ENIC   | S&P 500 | Difference |
|---------------------|--------|---------|------------|
| 1 week              | 5.5%   | 0.6%    | 4.9 pts    |
| 1 month             | -1.1%  | 0.7%    | -1.8 pts   |
| 3 months            | -0.2%  | 4.2%    | -4.4 pts   |
| 6 months            | 11.7%  | 18.6%   | -6.9 pts   |
| Year to date        | 13.9%  | 13.0%   | 0.9 pts    |
| 1 year              | 20.7%  | 16.9%   | 3.8 pts    |
| 3 years             | 88.0%  | 86.8%   | 1.2 pts    |
| 5 years             | 174.9% | 89.0%   | 85.9 pts   |
| 5 years, annualized | 22.4%  | 13.6%   | 8.8 pts    |

Source: Alpha Vantage adjusted weekly series (ENIC, SPY); calculated, including dividends. Each period starts from the weekly close on or before the start date; year to date uses the 26 December 2025 close. The five-year figure starts in October 2021, before the 2022 decline, and is strongly affected by the low of mid-2022 within the window.

## Total return versus the S&amp;P 500



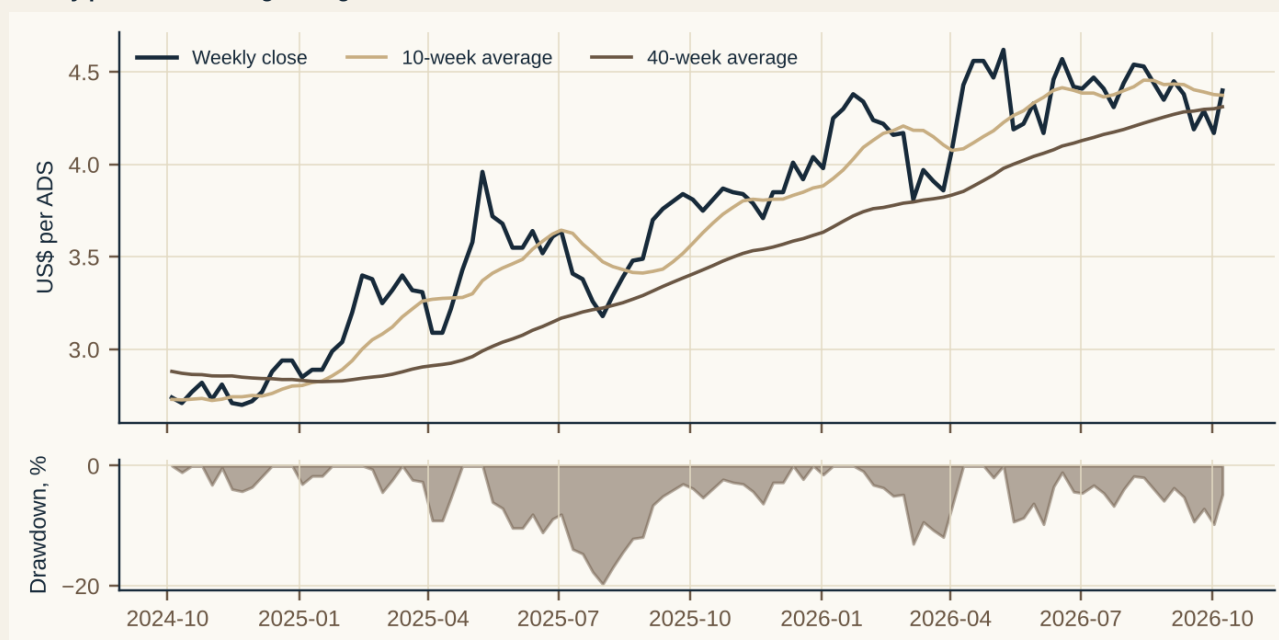
Source: Alpha Vantage adjusted weekly closes, ENIC and SPY (S&P 500 proxy). Units: index, 8 October 2021 = 100. Period: five years to 8 October 2026.

## VOLATILITY, DRAWDOWN AND MARKET BEHAVIOUR

| Measure                                                              | Value                | Basis                                           |
|----------------------------------------------------------------------|----------------------|-------------------------------------------------|
| Annualized volatility, 1 year                                        | 23.7%                | Calculated from weekly log returns              |
| Annualized volatility, 3 years                                       | 25.4%                | Calculated, weekly (S&P 500: 14.3%)             |
| Annualized volatility, 5 years                                       | 36.4%                | Calculated, weekly; includes the 2022 decline   |
| Downside volatility, 3 years                                         | 13.6%                | Calculated, weekly                              |
| Beta versus S&P 500, 3 years                                         | 0.66                 | Calculated, weekly (provider 5-year beta: 0.43) |
| Correlation with S&P 500, 3 years                                    | 0.37                 | Calculated, weekly                              |
| Maximum drawdown, last 12 months                                     | -13.0%               | Weekly closes, trough 6 March 2026              |
| Maximum drawdown, 5 years                                            | -53.4%               | Weekly closes, trough 1 July 2022               |
| Current distance from the 8 May 2026 weekly closing high of US\$4.62 | -4.8%                | Weekly closes                                   |
| 52-week range (weekly highs and lows)                                | US\$3.62 to US\$4.74 | Alpha Vantage weekly series                     |

Source: calculated from Alpha Vantage weekly series. Drawdowns use unadjusted closes (dividends excluded), so they overstate the loss slightly. A beta of 0.66 and volatility of 25 percent a year, nearly twice the S&P 500's, show that low beta does not mean low risk.

## Weekly price with moving averages and drawdown



Source: Alpha Vantage weekly closes. Units: US\$ per ADS and percent. Period: October 2024 to October 2026. Averages of 10 and 40 weeks approximate the 50-day and 200-day averages.

## TECHNICAL INDICATORS AT 8 OCTOBER 2026

| Indicator                | Reading           | Interpretation                                              |
|--------------------------|-------------------|-------------------------------------------------------------|
| 50-day moving average    | US\$4.40          | Price is at the average (provider, 5 October)               |
| 200-day moving average   | US\$4.30          | Price is 2.3% above                                         |
| RSI (14 weeks)           | 52.6              | Neutral                                                     |
| MACD (12, 26, 9, weekly) | 0.02, signal 0.05 | Slightly below the signal line; momentum is flat            |
| ATR (14 weeks)           | US\$0.24          | About 5.4 percent of price per week                         |
| Short interest           | 0.74% of shares   | Provider; 2.4 days to cover                                 |
| Analyst consensus        | Hold, 4 analysts  | Average target US\$4.63, 6.9 percent above price (provider) |

Source: StockAnalysis.com statistics page (moving averages, short interest, analyst data); RSI, MACD and ATR are calculated from Alpha Vantage weekly closes, so they are slower than daily indicators. Daily volume data were not retrieved.

**Reading.** The stock rose from a low of US\$3.62 in the week of 31 October 2025 to a high of US\$4.74 on 8 May 2026 and has since traded between about US\$4.05 and US\$4.74, ending the period at US\$4.40 after a 5.5 percent rise in the last week. The structure is neutral: price at the 50-day average, above the 200-day, with RSI near 50. These readings say nothing about the DCF range in section C5; the next earnings release is due on 28 October 2026.

## C. Financial Statements

Figures are in US dollars as converted and presented by StockAnalysis.com (S&P Global Market Intelligence) from the company's Chilean peso statements prepared under IFRS; the fiscal year ends 31 December. EBITDA, margins and growth are derived. Amounts are in US\$ million unless stated. TTM is the twelve months to 30 June 2026. The conversion means growth rates include currency effects, which are not separately disclosed in the sources retrieved.

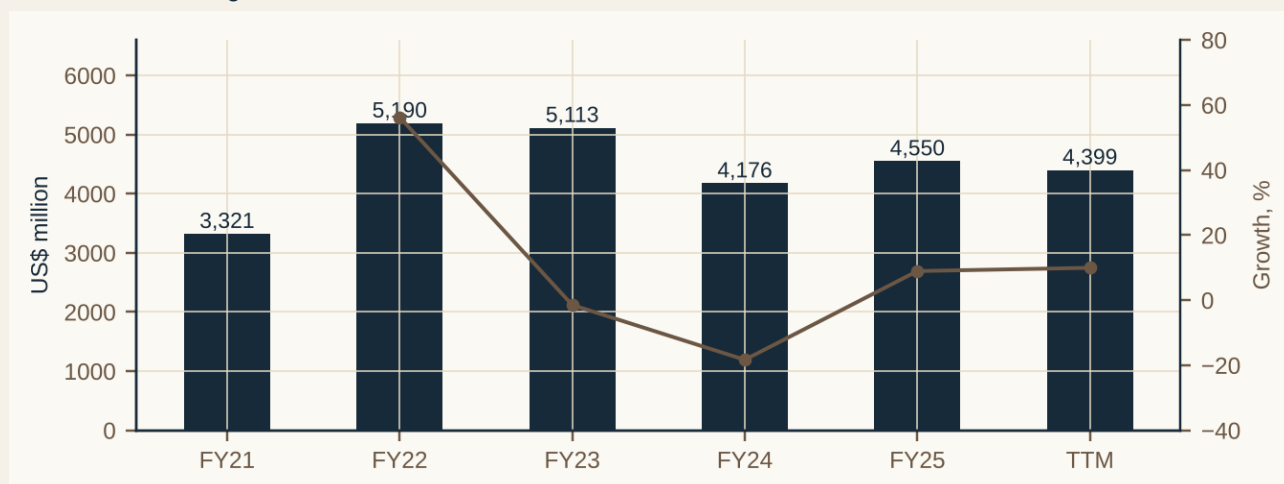
### C1. Income Statement

INCOME STATEMENT SUMMARY, US\$ MILLION

| Line                                     | FY21  | FY22  | FY23  | FY24   | FY25  | TTM   |
|------------------------------------------|-------|-------|-------|--------|-------|-------|
| Revenue (reported)                       | 3,321 | 5,190 | 5,113 | 4,176  | 4,550 | 4,399 |
| Revenue growth (reported)                | -7.4% | 56.3% | -1.5% | -18.3% | 9.0%  | 9.9%  |
| Operating income (reported)              | 353   | 1,121 | 873   | 402    | 963   | 825   |
| Depreciation and amortization (reported) | 248   | 280   | 302   | 313    | 387   | 411   |
| EBITDA (derived)                         | 601   | 1,401 | 1,174 | 715    | 1,350 | 1,236 |
| Net interest expense                     | -64   | -76   | -59   | -94    | -152  | -156  |
| Gain on sale of assets                   | 0     | 1,156 | 262   | -1     | 6     | 6     |
| Income tax expense                       | 18    | 553   | 270   | 37     | 210   | 215   |
| Net income to common (reported)          | 100   | 1,474 | 754   | 154    | 538   | 564   |
| Net income per ADS, US\$ (derived)       | 0.07  | 1.07  | 0.55  | 0.11   | 0.39  | 0.41  |

Source: StockAnalysis.com annual income statements. Per-ADS values are net income divided by 1,383.3 million ADS equivalents (69,166.9 million shares over 50). FY2023 refers to the year to 31 December 2023 (the provider dates it 1 January 2024). The provider reports per-share values on ordinary shares (US\$0.01 in FY2025), which are not comparable with ADS values. The company's own FY2025 revenue of US\$4,663m and adjusted EBITDA of US\$1,473m differ from the provider's definitions.

#### Revenue and annual growth



Source: StockAnalysis.com (reported). Units: US\$ million and percent. Period: FY2021 to TTM June 2026.

Where growth comes from. Revenue rose 56 percent in FY2022 and fell 18 percent in FY2024; the causes of these swings (price, volume, currency) are Not Retrieved. TTM revenue is up 9.9 percent while physical sales fell to 14.8 TWh from 15.1 TWh in the first half of 2026, so recent growth reflects price and mix rather than volume. Revenue by segment is Not Retrieved.

Operating leverage and margins. Operating income fell to US\$402m in FY2024 and recovered to US\$963m in FY2025, and the TTM figure of US\$825m shows a softer first half 2026 base (second-quarter EBITDA down US\$32m). Net income was

inflated in FY2022 by a US\$1,156m gain on asset sales and in FY2023 by US\$262m, and in FY2025 insurance settlements of US\$91m helped. Underlying earnings are therefore in the range of US\$400m to US\$550m rather than the headline FY2022 figure. Margins are stable at a high level compared with FY2021 and FY2024, but they are not expanding.

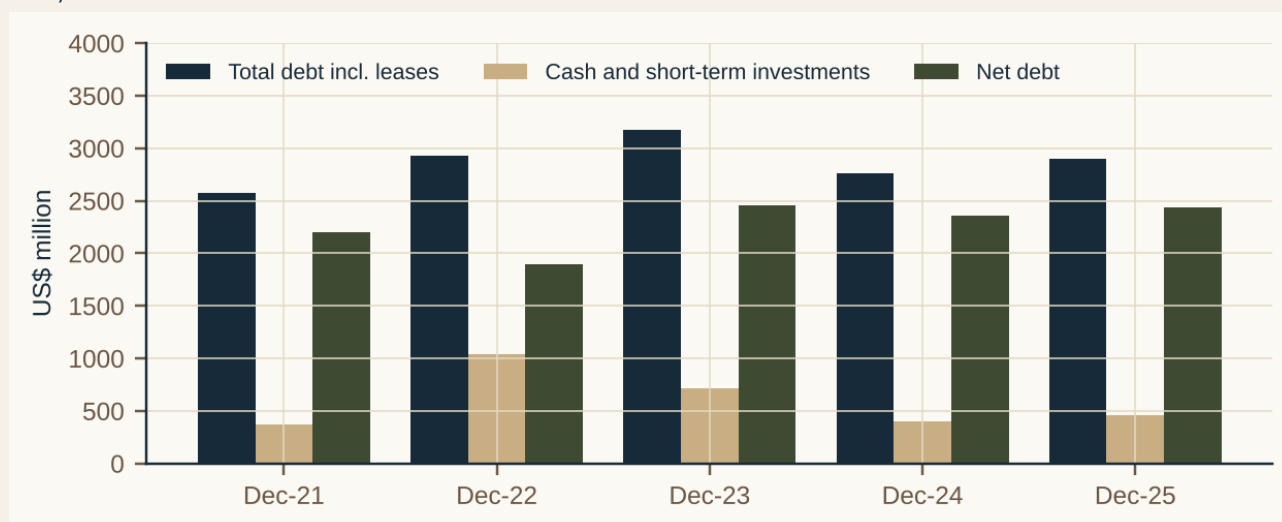
## C2. Balance Sheet

BALANCE SHEET SUMMARY AT YEAR-END, US\$ MILLION

| Line                               | Dec-21 | Dec-22 | Dec-23 | Dec-24 | Dec-25 | Mar-26 |
|------------------------------------|--------|--------|--------|--------|--------|--------|
| Cash and short-term investments    | 369    | 1,036  | 718    | 404    | 463    | n/a    |
| Trade receivables                  | 874    | 2,082  | 1,706  | 1,538  | 1,448  | n/a    |
| Net property, plant and equipment  | 7,361  | 8,024  | 8,101  | 7,853  | 8,143  | n/a    |
| Goodwill                           | 1,081  | 1,042  | 1,006  | 892    | 902    | n/a    |
| Total assets                       | 11,151 | 13,988 | 13,465 | 12,765 | 12,904 | 12,796 |
| Accounts payable                   | 2,327  | 3,172  | 2,193  | 1,835  | 1,905  | n/a    |
| Total current liabilities          | 2,503  | 3,735  | 3,179  | 2,251  | 2,473  | 2,392  |
| Total debt incl. leases (provider) | 2,570  | 2,933  | 3,172  | 2,762  | 2,903  | n/a    |
| Common equity                      | 3,636  | 4,830  | 5,059  | 4,976  | 5,176  | 5,314  |
| Minority interest                  | 292    | 344    | 358    | 369    | 374    | 385    |
| Net debt (provider)                | 2,202  | 1,897  | 2,454  | 2,358  | 2,440  | n/a    |
| Net debt (company)                 | n/a    | n/a    | n/a    | 3,546  | 3,379  | n/a    |

Source: StockAnalysis.com balance sheets; company net debt from the Enel Chile FY2025 fact sheet (December 2024 and 2025) and, for June 2026, gross debt of US\$3.82bn less cash of US\$277m per the provider and the Q2 2026 call. The company's net debt exceeds the provider's by about US\$0.9bn to US\$1.2bn, probably because of financial liabilities and derivatives that the provider does not classify as debt; the valuation uses the company-basis figure. The provider labels its latest balance sheet column TTM at 31 March 2026 and omits most lines.

### Debt, cash and net debt



Source: StockAnalysis.com balance sheets (provider classification). Units: US\$ million. Total debt includes lease liabilities.

**Strength.** Gross debt of US\$3.8bn is 85 percent fixed rate at 4.9 percent with an average maturity of 5.5 years, S&P rates the company BBB (stable) and Fitch BBB+ (stable), and US\$640m of committed credit lines plus US\$277m of cash cover the US\$322m of debt due within a year. Net debt to EBITDA on the company's basis was 2.3 times at December 2025 (2.9 times on our calculated EBITDA at June 2026), equity is 41 percent of assets, and interest coverage is 4.3 times.

**Red flags.** The current ratio is 0.79 and the quick ratio 0.69; working capital is negative at about US\$0.2bn (current assets US\$2,155m against current liabilities US\$2,392m in March 2026), typical for a utility with large payables but a liquidity point

to watch. Goodwill and intangibles total US\$1.2bn (23 percent of common equity), a modest impairment risk. Pensions and off-balance-sheet obligations are Not Retrieved. The gap between provider and company net debt is a data quality flag.

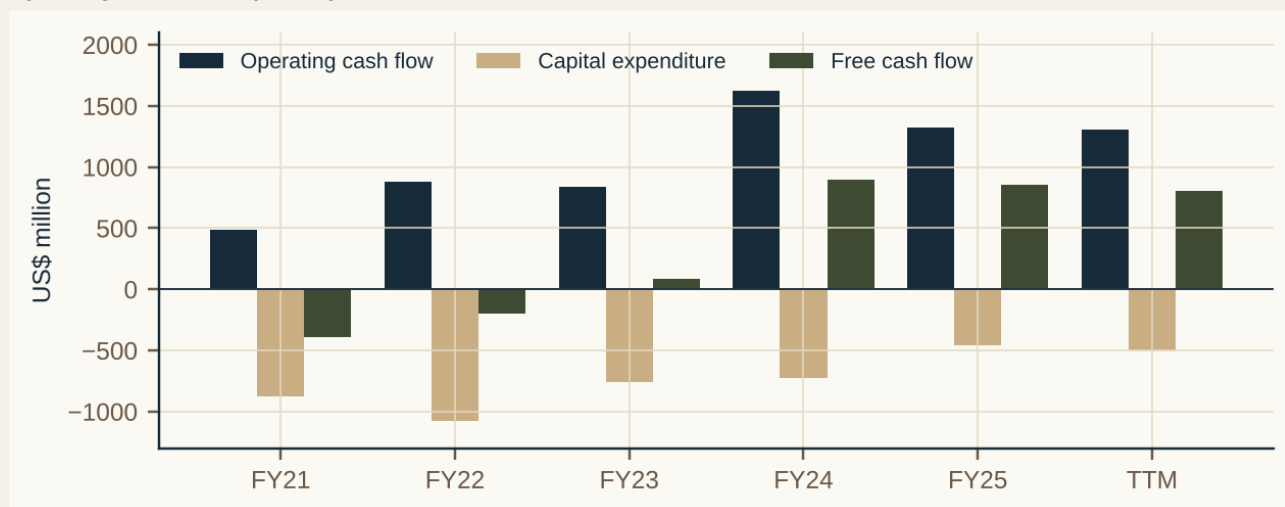
### C3. Cash Flow Statement

CASH FLOW SUMMARY, US\$ MILLION

| Line                              | FY21   | FY22   | FY23 | FY24  | FY25  | TTM   |
|-----------------------------------|--------|--------|------|-------|-------|-------|
| Operating cash flow               | 485    | 877    | 840  | 1,622 | 1,320 | 1,308 |
| Capital expenditure               | -878   | -1,078 | -758 | -725  | -462  | -504  |
| Free cash flow (derived)          | -393   | -201   | 82   | 897   | 858   | 804   |
| Free cash flow margin             | -11.8% | -3.9%  | 1.6% | 21.5% | 18.9% | 18.3% |
| Dividends paid                    | -271   | -47    | -478 | -366  | -351  | -305  |
| Net debt issued (repaid)          | 788    | -459   | -407 | -491  | -245  | -314  |
| Divestitures                      | 0      | 1,453  | 619  | 0     | 0     | 0     |
| Operating cash flow to net income | 4.8x   | 0.6x   | 1.1x | 10.5x | 2.5x  | 2.3x  |
| Dividend cover by free cash flow  | n/a    | n/a    | 0.2x | 2.5x  | 2.4x  | 2.6x  |

Source: StockAnalysis.com cash flow statements; free cash flow is operating cash flow less capital expenditure (provider shows the same figures). Ratios are calculated. n/a means free cash flow was negative or not applicable. FY2024 operating cash flow of US\$1,622m includes US\$1,155m of other operating items that are not explained in the sources retrieved; it should not be taken as a run rate.

#### Operating cash flow, capital expenditure and free cash flow



Source: StockAnalysis.com (reported, derived). Units: US\$ million. Period: FY2021 to TTM June 2026.

Quality of earnings. Cash flow exceeds net income because of depreciation (US\$411m TTM) and other non-cash items, and in FY2024 because of a large unexplained operating inflow. Free cash flow of US\$804m is not a run rate: first-half 2026 capital expenditure was US\$328m, more than double the first half of 2025, with US\$196m going to development projects, so annual capex is likely to be above the TTM US\$504m. The company also expects US\$65m to US\$70m of cash from the tariff settlement, which will be a one-off. At the TTM level dividends are covered 2.6 times by free cash flow, but the payout against earnings is 40 percent, so the dividend looks sustainable if earnings hold.

## C4. Forecasting and Projections

**Revenue modeling.** We start from 2026E revenue of US\$4,420m (slightly above TTM US\$4,399m, below FY2025 as high-priced contracts expire), grow 2.5 percent in 2027 and 3.0 percent in 2028 to 2030, fading to 2.5 percent by 2034, in line with consensus revenue growth of 2.4 percent and assumed inflation. Drivers are distribution tariffs indexed to inflation, new contracted renewable and storage capacity, and a stable free-market volume. Market share evolution is Not Retrieved.

**Margins.** EBITDA margin (operating income plus depreciation and amortization) is 28.0 percent in 2026E, equal to the TTM level of 28.1 percent, rising 0.5 points to 28.5 percent by 2030 as storage reduces curtailment losses. This is below the FY2025 margin of 29.7 percent and the company's own adjusted margin of 31.6 percent, which is deliberately conservative because FY2025 benefited from hydrology and gas margin that are not repeatable.

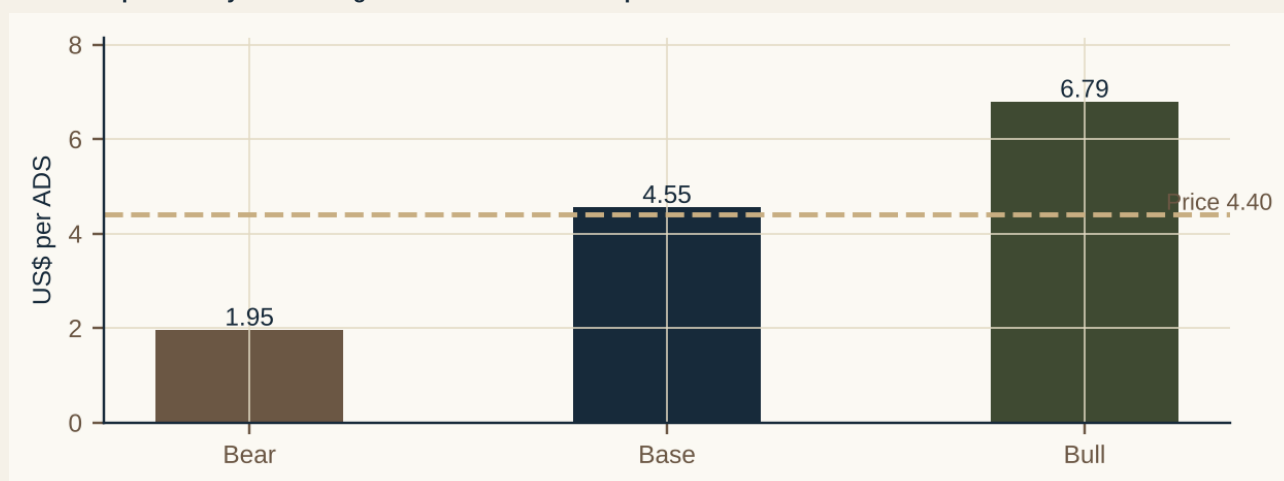
**Working capital and capex.** Capital expenditure is US\$700m in 2026E (first-half run rate of US\$328m plus a heavier second half), then 15.5 percent of revenue in 2027 falling to 10.5 percent by 2035, so that terminal capex equals about 1.1 times depreciation. Working capital absorbs 5 percent of incremental revenue. Tax is 27 percent, the Chilean statutory rate.

BASE CASE FORECAST, US\$ MILLION

| Line                          | 2026E | 2027E | 2028E | 2030E | 2033E | 2035E |
|-------------------------------|-------|-------|-------|-------|-------|-------|
| Revenue                       | 4,420 | 4,530 | 4,666 | 4,951 | 5,357 | 5,629 |
| Growth                        | -2.9% | 2.5%  | 3.0%  | 3.0%  | 2.5%  | 2.5%  |
| EBITDA                        | 1,238 | 1,274 | 1,318 | 1,411 | 1,527 | 1,604 |
| EBITDA margin                 | 28.0% | 28.1% | 28.3% | 28.5% | 28.5% | 28.5% |
| NOPAT (27% tax on EBIT)       | 603   | 621   | 644   | 692   | 746   | 780   |
| Depreciation and amortization | 411   | 423   | 436   | 463   | 505   | 536   |
| Capital expenditure           | -700  | -702  | -700  | -644  | -589  | -591  |
| Change in working capital     | -1    | -6    | -7    | -7    | -7    | -7    |
| Unlevered free cash flow      | 313   | 337   | 373   | 504   | 655   | 718   |

Source: analyst model. 2026E growth is measured against FY2025 revenue of US\$4,550m. Years 2029, 2031, 2032 and 2034 are in the model but omitted for space. Unlevered free cash flow is before interest; it is lower than the TTM provider unlevered figure of US\$462m because of the higher capital expenditure assumed.

DCF value per ADS by scenario against the 8 October 2026 price



Source: analyst model. Units: US\$ per ADS. Bear: growth 1.0 to 1.5 percent, EBITDA margin falling from 26.5 to 25.5 percent, WACC 8.3 percent, terminal growth 2.0 percent. Bull: growth 4.0 percent fading to 3.0 percent, margin reaching 30 percent, WACC 7.3 percent, capex fading to 10.5 percent of revenue.

## C5. Discounted Cash Flow (DCF) Model

### DCF ASSUMPTIONS AND OUTPUT, BASE CASE

| Item                                 | Assumption or result                                                                                                                                                                       |
|--------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Valuation date and horizon           | Net debt at 30 June 2026; cash flows from second half of 2026 to 2035, mid-period discounting                                                                                              |
| Revenue                              | US\$4,420m in 2026E, growth 2.5% to 3.0% then 2.5% from 2033; US\$5,629m in 2035E                                                                                                          |
| Margin                               | EBITDA margin 28.0% in 2026E rising to 28.5% by 2030                                                                                                                                       |
| Tax                                  | 27% of EBIT (Chilean statutory rate)                                                                                                                                                       |
| Capital expenditure                  | US\$700m in 2026E, then 15.5% of revenue in 2027 fading to 10.5% of revenue                                                                                                                |
| Working capital                      | 5% of incremental revenue                                                                                                                                                                  |
| WACC                                 | 7.8%: risk-free 5.22% (10-year Treasury, 8 October 2026), equity risk premium 4.5%, Chile country premium 1.2%, beta 0.70, cost of equity 9.6%, pre-tax cost of debt 6.5%, debt weight 37% |
| Terminal growth                      | 2.5%                                                                                                                                                                                       |
| Terminal value                       | US\$13,885m at end-2035 (implied 8.7x terminal EBITDA); present value US\$6,802m, or 67% of enterprise value                                                                               |
| Sum of discounted cash flows         | US\$3,418m                                                                                                                                                                                 |
| Enterprise value                     | US\$10,220m                                                                                                                                                                                |
| Less: net debt and minority interest | US\$3,543m and US\$385m                                                                                                                                                                    |
| Equity value                         | US\$6,292m                                                                                                                                                                                 |
| ADS equivalents                      | 1,383.3 million                                                                                                                                                                            |
| Value per ADS, base case             | US\$4.55                                                                                                                                                                                   |

Source: analyst model; inputs from StockAnalysis.com, Enel Chile Q2 2026 call summary, FY2025 fact sheet and U.S. Treasury yield data. Beta of 0.70 is an assumption near the observed 0.66 (3-year weekly) between the provider's 0.43 and a market beta of 1.0. The Chile country premium of 1.2 percent is an analyst assumption and was not taken from a retrieved source. Cash flows are modeled in US dollars as converted by the provider; peso depreciation would lower them. The DCF is a range, not a point estimate.

### SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER ADS, US\$

| WACC | 1.5% | 2.0% | 2.5% | 3.0% | 3.5% |
|------|------|------|------|------|------|
| 6.8% | 5.07 | 5.65 | 6.37 | 7.28 | 8.46 |
| 7.3% | 4.34 | 4.80 | 5.36 | 6.05 | 6.93 |
| 7.8% | 3.73 | 4.10 | 4.55 | 5.09 | 5.75 |
| 8.3% | 3.21 | 3.52 | 3.88 | 4.30 | 4.82 |
| 8.8% | 2.76 | 3.02 | 3.31 | 3.66 | 4.07 |

### SENSITIVITY: REVENUE GROWTH (COLUMNS, CHANGE VERSUS BASE EACH YEAR) AGAINST TERMINAL EBITDA MARGIN (ROWS), VALUE PER ADS, US\$

| Terminal margin | -2 pts | -1 pt | Base | +1 pt | +2 pts |
|-----------------|--------|-------|------|-------|--------|
| 26.0%           | 2.90   | 3.19  | 3.51 | 3.85  | 4.21   |
| 27.0%           | 3.25   | 3.58  | 3.93 | 4.30  | 4.69   |
| 28.5% (base)    | 3.79   | 4.16  | 4.55 | 4.97  | 5.42   |
| 30.0%           | 4.32   | 4.73  | 5.17 | 5.64  | 6.15   |
| 31.0%           | 4.68   | 5.12  | 5.59 | 6.09  | 6.63   |

Source: analyst model. WACC 7.8 percent and terminal growth 2.5 percent in the second table. The first-year margin is held at 28.0 percent; the terminal margin is reached by 2030 in equal steps.

**Valuation range.** For discount rates of 7.3 to 8.3 percent and terminal growth of 2.0 to 3.0 percent the value ranges from US\$3.52 to US\$6.05 per ADS, centered on US\$4.55. The scenarios are US\$1.95 (bear) to US\$6.79 (bull). The 8 October price of US\$4.40 is 3 percent below the base case and inside the reasonable range; terminal value is 67 percent of enterprise value, so the result depends heavily on the discount rate and terminal margin.

## C6. Leveraged Buyout (LBO) Model

Not applicable. Enel Chile is 64.93 percent owned by Enel SpA, a sale or going-private transaction is not signalled in any source retrieved, and a regulated distribution network and strategic generation assets would face regulatory approval. Free cash flow after the higher investment programme would also leave limited capacity to service acquisition debt on top of existing net debt of 2.9 times EBITDA. No LBO analysis is presented.

## D. Investment Thesis

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### Bull Case

The bull case is that Enel Chile compounds through the energy transition: hydrology returns to the 10.7 TWh outlook, more than 450 MW of batteries reduce curtailment and shift output to higher-priced hours, the tariff law is promulgated and releases US\$65m to US\$70m of cash, growth of 4 percent fading to 3 percent lifts revenue, and EBITDA margin reaches 30 percent. With capital expenditure falling toward 10.5 percent of revenue and a discount rate of 7.3 percent, the DCF is about US\$6.79 per ADS, 54 percent above the current price.

### Bear Case

The bear case assumes another dry year and falling contract prices: revenue growth of 1.0 to 1.5 percent, EBITDA margin sliding from 26.5 to 25.5 percent, mining and free-market demand weak, and an unfavorable resilience framework that adds unrecovered investment. With a discount rate of 8.3 percent and terminal growth of 2.0 percent the DCF falls to about US\$1.95 per ADS, 56 percent below the current price, equivalent to about 5.4 times TTM EBITDA at the implied enterprise value.

### Base Case

Revenue of US\$4.4bn in 2026 growing at 2.5 to 3 percent, EBITDA margin of 28 to 28.5 percent, capital expenditure of about US\$0.7bn a year until 2029 and then falling, and dividends of roughly 40 percent of earnings. The base DCF is US\$4.55 per ADS. The stock at US\$4.40 is therefore priced almost exactly at the base case; the investment case relies on the dividend yield of 3.7 percent and modest growth rather than on valuation upside.

## Catalysts

### POTENTIAL CATALYSTS

| Event                                                    | Timing                                 | Why it matters                                                                               |
|----------------------------------------------------------|----------------------------------------|----------------------------------------------------------------------------------------------|
| Third-quarter 2026 results                               | 28 October 2026                        | First test of the reaffirmed 2026 guidance and of hydrology                                  |
| Promulgation of the Electricity Tariff Protection law    | Second half 2026                       | Settles the 2020 to 2024 VAD, extends the tariff period to 2030, releases US\$65m to US\$70m |
| Securitization or factoring of the settlement receivable | End 2026 or early 2027                 | Converts the settlement into cash                                                            |
| Start of the 15-year renewable PPA (up to 1 TWh a year)  | Second half 2026                       | Contracted volume that replaces expiring PPAs                                                |
| Battery projects entering service                        | 2026 to 2027                           | More than 450 MW under construction; reduces curtailment                                     |
| Dividend declaration                                     | Spring 2027 (based on the May pattern) | Dividend per ADS has been US\$0.16 to US\$0.29 a year                                        |

Source: Q2 2026 earnings call summary, StockAnalysis.com (earnings date 28 October 2026 and dividend history), analyst assessment.

## Things to Monitor

### MONITORING LIST

| Metric or event             | Why it matters                 | Positive                             | Negative                              |
|-----------------------------|--------------------------------|--------------------------------------|---------------------------------------|
| Hydro generation            | Cheapest source; drives margin | On track for about 10.7 TWh for 2026 | Clearly below, forcing spot purchases |
| Quarterly EBITDA            | Direct earnings signal         | Above the Q2 2026 level of US\$262m  | Further year-on-year decline          |
| Free-market physical sales  | Demand and contract renewals   | At or above 15 TWh per half year     | Further declines beyond mining        |
| Net debt to EBITDA          | Balance-sheet risk             | Under 2.5x (calculated 2.9x)         | Above 3.2x                            |
| Capex and return on capital | Value creation test            | ROIC rising toward 7.8%              | ROIC stays near 5% while capex rises  |
| Tariff law implementation   | Regulatory risk                | Promulgated and cash received        | Delayed or amended                    |
| Distribution losses         | Operating efficiency           | Back toward 5.8%                     | Above 6.6%                            |
| Dividend per ADS            | Income support                 | At or above US\$0.16                 | Cut below US\$0.12                    |

## E. Final Investment Framework

|                                       |                                                                                                                                                                                                                                                    |
|---------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>BUSINESS QUALITY</b>               | Good. Regulated distribution in the capital region gives a stable base; generation is diversified by technology but exposed to hydrology and contract prices.                                                                                      |
| <b>FINANCIAL QUALITY</b>              | Moderate. Earnings are volatile and one-off asset sales distorted FY2022 and FY2023; free cash flow is falling as capex doubles; net debt is 2.9 times EBITDA.                                                                                     |
| <b>COMPETITIVE POSITION</b>           | Strong in Santiago distribution and in renewables and storage; market shares are Not Retrieved.                                                                                                                                                    |
| <b>MANAGEMENT</b>                     | Not assessed in depth. The CEO (Gianluca Palumbo) and CFO (Simone Conticelli) presented a clear Q2 2026 account and maintained guidance; backgrounds and pay are Not Retrieved. Control by Enel SpA (64.93 percent) is a governance consideration. |
| <b>INDUSTRY</b>                       | Mature in demand, transforming in supply; regulation is being reset through 2030.                                                                                                                                                                  |
| <b>VALUATION</b>                      | Fair. The price of US\$4.40 is 3 percent below the DCF base of US\$4.55 and inside the range of US\$3.52 to US\$6.05; P/E 10.8 times and yield 3.7 percent.                                                                                        |
| <b>TECHNICAL AND MARKET STRUCTURE</b> | Neutral. At its 50-day average, 2 percent above the 200-day, RSI 53, 5 percent below the May high. Volatility of 25 percent a year against 14 percent for the S&P 500.                                                                             |
| <b>PRINCIPAL RISK</b>                 | A dry year combined with expiring contracts, which would cut generation margin when investment is rising.                                                                                                                                          |
| <b>PRINCIPAL CATALYST</b>             | Third-quarter results on 28 October 2026 and promulgation of the tariff law.                                                                                                                                                                       |
| <b>KEY VARIABLE</b>                   | EBITDA margin: each additional point of terminal margin is worth about US\$0.40 per ADS in the DCF.                                                                                                                                                |
| <b>THESIS INVALIDATION</b>            | The investment thesis would become materially weaker if hydro output falls well below the 10.7 TWh outlook, if net debt to EBITDA rises above 3.2 times, if the tariff law is not promulgated or implemented, or if the dividend is cut.           |

## F. Data Table

| Category      | Metric                    | Current    | Prior year                          | 3Y / 5Y trend                    |
|---------------|---------------------------|------------|-------------------------------------|----------------------------------|
| Market        | Market capitalization     | US\$6.09bn | US\$5.27bn (3 Oct 2025, calculated) | Weekly price up 175% in 5 years  |
| Market        | Enterprise value          | US\$9.63bn | n/a                                 | n/a                              |
| Market        | Share price (ADS)         | US\$4.40   | US\$3.81 (3 Oct 2025)               | Up 88% in 3 years                |
| Growth        | Revenue growth (TTM)      | 9.9%       | 9.0% (FY25)                         | CAGR 8.2% FY21 to FY25           |
| Profitability | Operating margin (TTM)    | 18.7%      | 21.2% (FY25)                        | Range 9.6% to 21.6% FY21 to FY25 |
| Profitability | EBITDA margin (TTM)       | 28.1%      | 29.7% (FY25)                        | Range 17.1% to 29.7%             |
| Profitability | Net margin (TTM)          | 12.8%      | 11.8% (FY25)                        | Range 3.0% to 28.4%              |
| Profitability | ROE (TTM)                 | 10.6%      | 10.4% (FY25)                        | Range 2.7% to 30.5%              |
| Profitability | ROIC (provider)           | 5.45%      | n/a                                 | n/a                              |
| Cash flow     | Operating cash flow (TTM) | US\$1.31bn | US\$1.32bn (FY25)                   | Up from US\$0.48bn in FY21       |
| Cash flow     | Free cash flow (TTM)      | US\$0.80bn | US\$0.86bn (FY25)                   | Negative in FY21 and FY22        |
| Leverage      | Net debt / EBITDA         | 2.9x       | 2.3x (FY25, company)                | n/a                              |
| Valuation     | P/E (trailing)            | 10.8x      | n/a                                 | n/a                              |
| Valuation     | EV/EBITDA                 | 7.8x       | n/a                                 | n/a                              |

| Category  | Metric                     | Current            | Prior year | 3Y / 5Y trend                       |
|-----------|----------------------------|--------------------|------------|-------------------------------------|
| Valuation | P/B                        | 1.15x              | n/a        | n/a                                 |
| Income    | Dividend yield             | 3.7%               | n/a        | US\$0.16 to US\$0.29 per ADS a year |
| Market    | Beta (3Y weekly)           | 0.66               | n/a        | Provider 5Y beta 0.43               |
| Market    | Annualized volatility (3Y) | 25.4%              | 23.7% (1Y) | 5Y 36.4%                            |
| Market    | Maximum drawdown           | -13.0% (12 months) | n/a        | -53.4% in 5 years                   |

Source: StockAnalysis.com statements and statistics; Alpha Vantage weekly series; calculated by the analyst. Prior-year share price is the weekly close of 3 October 2025. Prior-year market capitalization is calculated from that price and the constant share count.

## G. Sources and Methodology

### Data cross-check

Before analysis, the main figures were compared across sources. The closing price of US\$4.40 on 8 October 2026 comes from the weekly series; the provider's daily page showed the latest row as 10 September in the retrieved text. Differences found and the treatment adopted are shown below.

#### DISCREPANCIES AND PREFERRED SOURCE

| Item                  | Difference                                                                                                                | Treatment                                                                                     |
|-----------------------|---------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|
| Market capitalization | Provider US\$5.68bn (5 October); report US\$6.09bn at the 8 October close using 69,166.9m shares over 50                  | Calculated figure used; provider share count (69.17bn ordinary shares) is not on an ADS basis |
| Net debt              | Provider US\$2.44bn (Dec-25) against company US\$3.38bn; June 2026 gross debt US\$3.82bn less cash US\$277m is US\$3.54bn | Company-basis figure used for valuation                                                       |
| Revenue FY2025        | Provider US\$4,550m; company fact sheet US\$4,663m                                                                        | Provider used for continuity across years                                                     |
| EBITDA                | Company adjusted FY2025 US\$1,473m; provider-derived US\$1,350m; provider EV/EBITDA implies US\$1.14bn TTM                | Report uses operating income plus D&A (TTM US\$1,236m)                                        |
| Per-share data        | Provider shows EPS of US\$0.01 on ordinary shares and US\$0.42 TTM on ADS basis in statistics                             | ADS basis (50 ordinary shares) used throughout                                                |
| Beta                  | Provider 5-year 0.43; report 3-year weekly 0.66                                                                           | Calculated beta used; WACC beta assumed 0.70                                                  |
| Dividend              | Provider annual dividend US\$0.16 per ADS                                                                                 | Consistent with calculated US\$0.162                                                          |

### Source list

#### Primary Sources

**Enel Chile S.A.**, Annual report on Form 20-F for fiscal year 2025. Filed with the U.S. Securities and Exchange Commission, 2026.

<https://www.sec.gov/Archives/edgar/data/0001659939/000110465926050251/enic-20251231x20f.htm>. Information obtained: Enel SpA ownership of 64.93 percent, thermal share of capacity and generation, closed coal plants, free-market threshold

**Enel Chile S.A.**, Fact Sheet FY 2025. 2026. <https://www.enel.cl/content/dam/enel-cl/inversionistas/enel-chile/informacion-para-el-accionista/fact-sheet/2025/Fact-Sheet-Enel-Chile-FY-2025.pdf>. Information obtained: Revenue, adjusted EBITDA, net debt, installed capacity, energy distributed, clients, ratings, debt maturity and cost

#### Secondary Sources

**MarketBeat**, Enel Chile Q2 earnings call highlights. 29 July 2026.

<https://www.marketbeat.com/instant-alerts/enel-chile-q2-earnings-call-highlights-2026-07-29/>. Information obtained: First-half and second-quarter results, hydrology, capex, battery storage, debt and liquidity, guidance, tariff law, executives

#### Market Data

**Alpha Vantage**, TIME\_SERIES\_WEEKLY\_ADJUSTED data documentation and series for ENIC and SPY. Data to 8 October 2026.

<https://www.alphavantage.co/documentation/>. Information obtained: Weekly adjusted prices used for returns, volatility, drawdown, beta, moving averages, RSI, MACD and ATR

**StockAnalysis.com**, ENIC price history. Data to 8 October 2026. <https://stockanalysis.com/stocks/enic/history/>. Information obtained: Daily price history for cross-checking the weekly series

**StockAnalysis.com**, ENIC statistics. 5 October 2026. <https://stockanalysis.com/stocks/enic/statistics/>. Information obtained: Valuation multiples, beta, moving averages, short interest, dividend data, analyst targets

**StockAnalysis.com**, ENIC income statement. July 2026. <https://stockanalysis.com/stocks/enic/financials/income-statement/>. Information obtained: Annual and TTM revenue, operating income, net income

**StockAnalysis.com**, ENIC cash flow statement. July 2026. <https://stockanalysis.com/stocks/enic/financials/cash-flow-statement/>. Information obtained: Operating cash flow, capital expenditure, dividends, debt flows

**StockAnalysis.com**, ENIC balance sheet. July 2026. <https://stockanalysis.com/stocks/enic/financials/balance-sheet/>. Information obtained: Assets, liabilities, equity, debt, cash

**StockAnalysis.com**, ENIC dividend history. October 2026. <https://stockanalysis.com/stocks/enic/dividend/>. Information obtained: Dividend per ADS by year and latest ex-dividend dates

**StockAnalysis.com**, AES statistics. 8 October 2026. <https://stockanalysis.com/stocks/aes/statistics/>. Information obtained: Peer valuation, margins and leverage

**StockAnalysis.com**, Pampa Energía statistics. 9 October 2026. <https://stockanalysis.com/stocks/pam/statistics/>. Information obtained: Peer valuation, margins and leverage

**U.S. Department of the Treasury**, Daily Treasury par yield curve rates, October 2026. 8 October 2026. [https://home.treasury.gov/resource-center/data-chart-center/interest-rates/TextView?type=daily\\_treasury\\_yield\\_curve&field\\_tdr\\_date\\_value\\_month=202610](https://home.treasury.gov/resource-center/data-chart-center/interest-rates/TextView?type=daily_treasury_yield_curve&field_tdr_date_value_month=202610). Information obtained: 10-year Treasury yield of 5.22 percent used as the risk-free rate

## Calculations

Calculated by the analyst rather than reported: EBITDA (operating income plus depreciation and amortization), free cash flow (operating cash flow less capital expenditure), margins and growth rates, CAGR, net debt to EBITDA, ROE and ROA, per-ADS values (division by 1,383.3 million ADS equivalents, being 69,166.9 million ordinary shares over 50), market capitalization (price times ADS equivalents), enterprise value (market capitalization plus net debt, excluding minority interest), trailing multiples, total returns, annualized volatility, downside volatility, beta, correlation, drawdown, RSI, MACD and ATR, all DCF outputs, scenarios and sensitivities. Volatility, beta and correlation use weekly log returns from the adjusted close series over the stated windows, annualized by the square root of 52. RSI uses a 14-period Wilder average, MACD uses 12, 26 and 9-period exponential averages, and ATR uses 14 weekly true ranges, all on weekly data. DCF assumptions are analyst estimates and are stated in section C5. Financial statements are IFRS figures in Chilean pesos converted to US dollars by the data provider.

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